

NERDCOMMAND · CHAPMAN CAPITAL · EMPIRE COMPANION

OptionScope Training Manual

Personal field guide: options trading fundamentals **and** how to use every dashboard. Process over prediction.

FOR MICHAEL CHAPMAN ONLY

See · Trust · Own · No auto-trade

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Local app: localhost:3000

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Read first. Options involve significant risk. You can lose the entire premium; some structures can lose more than the debit paid. Model PoP / EV / Monte Carlo are *estimates under assumptions*, not guarantees. Delta is not probability of profit. This app does not place trades. You own every fill in Robinhood (or any broker). Educational companion only — not investment advice to others.

1. Hard laws & capital ladder

1) You press the broker button · 2) No auto-trade · 3) No RH password · 4) Model ≠ oracle · 5) Seed capital is survival · 6) Public SaaS only after real process

Phase	Equity target	Intent	Default posture
Seed	~\$500	Survive, learn process, avoid blow-up	Paper first; micro defined-risk only
Stage 1	\$500 → \$5,000	Proof of process	Defined-risk default; journal every fill
Stage 2	\$5,000 → \$25,000	Scale carefully	Same rules, larger tickets inside budget

\$500 physics: 1% of \$500 = \$5 risk. Many 1-lot max losses are \$25–\$200+. Correct size is often **zero contracts** — that is a feature. Cash-secured put on a \$200 stock ≈ \$20,000 cash. Covered call needs 100 shares first. Companion blocks naked undefined risk as a default path.

2. Options trading education

2.1 Calls and puts

Contract	Buyer's right	Seller's obligation
Call	Buy 100 shares at strike by expiration	Sell 100 shares at strike if assigned
Put	Sell 100 shares at strike by expiration	Buy 100 shares at strike if assigned

Standard equity option multiplier = **100 shares**. Buyers pay premium; sellers receive premium and take the other side's risk. Short options can be assigned — plan for it.

2.2 Long vs short

Position	Capital	Risk shape
Long option	Debit (premium paid)	Max loss $\approx$ premium (single long)
Short option (naked)	Credit received	Can be large / undefined

Empire default: long and *defined-risk* spreads first. Naked short is not a Seed tool.

2.3 Vertical spreads (workhorse)

Structure	Legs (concept)	Bias	Max loss	Max profit
Bull call debit	Long lower call + short higher call	Bullish	Net debit	Width – debit
Bear put debit	Long higher put + short lower put	Bearish	Net debit	Width – debit
Bull put credit	Short higher put + long lower put	Mild bull / neutral	Width – credit	Net credit
Bear call credit	Short lower call + long higher call	Mild bear / neutral	Width – credit	Net credit

2.4 Other structures you will see in the Lab

- **Iron condor** — short OTM put vertical + short OTM call vertical (range thesis).
- **CSP / covered call** — capital heavy; often Stage 1+ or when you already hold shares.
- **Money Press (put diagonal)** — sell near-term higher-strike put, buy lower-strike longer put as protection. Flat-to-up thesis; weekly roll discipline. Personal method notes only — not a promise of results.
- **Straddle / strangle** — volatility thesis; can be capital intensive; use Compare and model PoP carefully.

2.5 Greeks in one breath

Greek	Meaning
Δ Delta	Approx. dollar sensitivity / share-equivalent. <i>Not</i> win probability.
Γ Gamma	How delta changes as price moves.
Θ Theta	Time decay (per day in OptionScope position scale).
ν Vega	Sensitivity to implied volatility.
ρ Rho	Sensitivity to interest rates.

2.6 IV, trend, events

- **High IV** — premium rich; credit structures often preferred by books (still need edge + risk).
- **Low IV** — debit / long vol more common in textbooks.
- **Earnings / events** — can explode IV and gap through strikes; companion brain may avoid event proximity.
- **Liquidity** — wide bid/ask destroys theoretical edge; prefer tight markets.

3. What OptionScope calculates

All of these are implemented in `src/domain/*` and surfaced in Trade Lab / Compare.

Engine	What you see	Honesty label
Black-Scholes / CRR	Price + Greeks	Model theo — not a fill
Expiration payoff	Max profit / max loss / break-evens / curve	At expiration assumptions
Monte Carlo	Model PoP, EV, median, histogram	Fixed-vol GBM estimate
Strike hit box	Touch / finish probability aids	Model estimate
Brain selector	Ranked strategies + size + zero-size coach	Rules + policy; you decide

Calc engine badge in Trade Lab: “Domain” = unit-tested engine for standard same-expiry structures. “Diagonal UI” = Money Press multi-DTE residual path. Both are educational models.

4. Dashboard usage guide

Run the app: `cd opiontrading → npm dev → http://localhost:3000`

Your live data mode (as of last config read): **Alpaca paper** for market data + account sizing. Demo mode needs no keys.

4.1 Command — /dashboard

Purpose: Morning cockpit. See capital truth, seed badge, journal pulse, chart, market context — not a “buy now” button.

- Confirm equity / seed mode (\$500 / \$1k / \$5k) matches reality or paper.
- Check LIVE vs PAPER honesty labels (no fake live day P/L).
- Jump to Trade Lab, Journal, or Settings from ritual CTAs.
- Use chart + symbol search to set the day's focus ticker.

4.2 Trade Lab — /builder

Purpose: Build a structure, run math, get brain ranks, copy a Robinhood checklist.

1. Enter ticker → **Load live chain** (or Use demo).
2. Pick strategy template (verticals, condor, Money Press, etc.).
3. Review legs table, net debit/credit, max P/L, break-evens.
4. Read payoff chart, Greeks panel, model PoP/EV (Monte Carlo).
5. Hit brain **Recommend** — may lock strikes/DTE from live chain.
6. If contracts = 0, read **zero-size coach** (capital too small — not a bug).
7. Scroll to **Order checklist** → Copy → enter manually in broker.
8. Save plan to Journal before you fill.

4.3 Library — /library

Search ingested option books / strategy rules. Use for thesis language and book-backed context — not as a signal service.

4.4 Compare — /compare

Pick up to three structures under the same spot / IV / DTE. Table shows net cash, max P/L, break-evens, model PoP, model EV, payoff RoR. Demo marks unless you compare ideas already priced in Lab.

4.5 Journal — /journal

Process loop: **plan** → **open** → **close** with realized P/L. Checklist text should appear on plans saved from Trade Lab. This is how you calibrate forecast vs outcome (Phase 7 mindset).

4.6 Saved — /saved

Quick local bookmark of ideas (this browser). Reopen in Lab or log in Journal later.

4.7 Settings — /settings

- **Seed presets:** \$500 / \$1k / \$5k — drives brain sizing policy.

- **Robinhood import:** paste or CSV from official export only. Never enter RH password.
- **Alpaca:** paper keys size the brain to live paper equity (no orders).

4.8 Education — /education

In-app risk field manual. This PDF is the longer portable version for study offline.

5. Morning ritual (recommended)

- 01 **Settings** — seed equity correct; RH paste if you want sharesHeld gates.
- 02 **Command** — ladder, account truth, focus ticker, no revenge mindset.
- 03 **Trade Lab** — load chain → brain → math → checklist → journal plan.
- 04 **Broker** — enter orders yourself; verify every leg, strike, side, qty, DTE.
- 05 **Journal** — mark open; later close with realized P/L. Learn, don't spin.

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>_ RULE: Track effort and process (checklist used, plan before fill, size-in-policy). Returns follow discipline, not hope.
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6. Seed account reality & checklist discipline

- Empire seed policy: ~**0.5% target / 1% hard** risk per trade; tight open-risk budget; CSP blocked as default at seed.
- Growth-aggressive mode is not for Seed psychology.
- Zero-size coach means “this 1-lot does not fit capital” — switch to cheaper defined-risk or paper larger names.
- Checklist is the climax: copy → broker. The app never auto-sends orders.

7. Build status snapshot (tracked)

As of 2026-07-16 Superagent + domain hardening pass:

Area	Status
All dashboards in Next.js build	Built
Option math (BS, binomial, payoff, MC, Greeks)	Built + unit tests
Brain, market context, library ingest	Built + tests
Seed mode, RH paste, checklist → journal	Built (companion money loop)
Automated test suite	168+ tests green (verify with <code>pnpm test</code>)
Reality Checker personal MVP stamp	NEEDS_WORK → process proof still required before real ladder

Full inventory: `docs/nexus/11-DASHBOARDS-AND-CALCS-STATUS.md` · Superagent pack: `docs/nexus/superagent/`

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